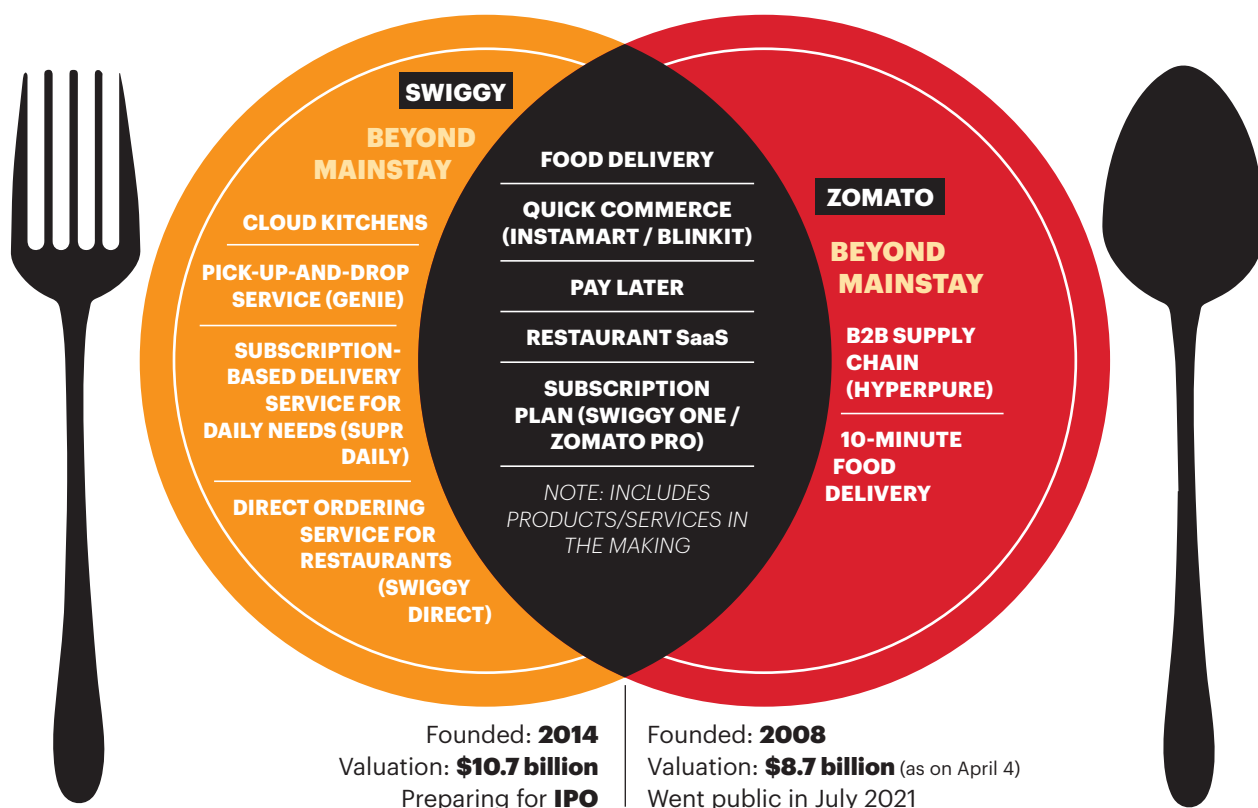


CAPTURING EVERYTHING FOOD AND HYPERLOCAL



| 23

Similarly, more than 80 per cent of new capital will be allocated to Instamart for the next year or two,” one of the executives told *Business Today*.

With a commitment of \$700 million to grow its express delivery business, Swiggy is aggressively building dark stores across the country. (A dark store is a micro-fulfilment centre where e-commerce firms store inventory for rapid online order fulfilment.) As it adds more SKUs (stock keeping units) across its expanding network of dark stores, the AOVs are bound to increase, helping it improve margins. The company targets to clock an annualised GMV (gross merchandise value) run rate of \$1 billion in the next three quarters with Instamart.

So, with food and grocery, Swiggy has created two strong revenue streams, which are not feeding on each other. But there’s more. The company is gradually building out its pick-up and drop (courier) service, Swiggy Genie; subscription-based daily grocery delivery service, Supr Daily; and a meat delivery vertical called Meat Stores. Today, the Prosus-backed company delivers food across 520 cities, does local courier service in 68 cities with Genie, and offers daily essentials in six.

The ‘everything delivery’ model helps Swiggy reduce discounts across its platform, and allows it

to plug all its riders into a single unit, which enables better utilisation of its delivery fleet. According to the company, it delivers products under 20 minutes in its key markets. As deliveries become fast and spread across the day, riders can fulfil more orders per hour, which allows it to reduce the incentives paid per delivery without affecting a rider’s earnings.

“You get a high open rate for the application when the customers have more than one reason to open your application. You open Swiggy for your food, for grocery, or to send a courier within the same city. This solves for the unit economics and rider optimisation, to an extent. Once you crack hyperlocal logistics, you can build food and grocery very easily, which is what Amazon, Flipkart and Reliance will all do,” says a foodtech company founder who wished to remain anonymous.

ZOMATO, ON THE other hand, has always been a food services company. It has stayed true to food all through its many pivots over the course of its journey that started in 2008 as a restaurant search and discovery platform, all the way to going public in 2021 as a full-stack food services company. “Our goal re-